

TSE Urgent Notice



Jun. 15, 2022
Listing Department
Tokyo Stock Exchange, Inc.

Designation of Security on Alert and Imposition of Listing Agreement Violation Penalty

TSE has designated the stock as a Security on Alert and imposed a listing agreement violation penalty as follows.

*This decision is based on the results of the examination by Japan Exchange Regulation.

1. Issue Name Agile Media Network Inc. stock
(Code: 6573, Market Segment: Growth Market)
2. Date of Designation of Security on Alert Jun. 16, 2022 (Thu.)

Provision Securities Listing Regulations, Rule 503, Paragraph 1, Item (3)
(due to disclosed information containing false statements, and TSE deeming that the improvement of the internal management system, etc. of such listed company is highly necessary)
3. Listing Agreement Violation Penalty JPY 9.6 million

Total

Provision Securities Listing Regulations, Rule 509, Paragraph 1, Item (1) and Item(3) of the same paragraph
(due to disclosed information containing false statements, and TSE deeming that the improvement of the internal management system, etc. of such listed company is highly necessary)
4. Reason Agile Media Network Inc. (hereinafter the "Company") disclosed an investigation report of the third-party committee concerning inappropriate accounting processing, etc. at the Company on Apr. 11, 2022, and then corrections to financial results for past fiscal years on May 11, 2022 based on the result of said investigation.
These disclosures revealed, among other things, that a director of the Company who was then chief financial officer (hereinafter the "Director & CFO"), had led reporting of fictitious sales immediately after the Company's initial listing and that said Director & CFO had been continuously conducting improper cash outflows even before the initial listing.

In addition, while the Company disclosed corrections to financial results for past fiscal years on Jul. 14, 2021 (hereinafter the "Previous Corrections"), it was revealed that the investigation by the third-party committee established before said corrections (hereinafter the "Previous Investigation") was completed without clarifying the full extent of inappropriate accounting processing, due mainly to the dysfunction of the auditors' audit and the deletion of several electronic data that could have served as evidence of the involvement of the then representative director & president, which meant that the Previous Corrections were found to be inaccurate and inadequate.

Consequently, the Company made false statements in its financial statements, etc. for the fiscal year ended Dec. 31, 2017, which were included in the "Securities Report for Initial Listing Application" that the Company submitted at the time of the initial listing. The Company also made false statements in its full year and quarterly financial results for the period from the first quarter of the fiscal year ended Dec. 31, 2018 to the third quarter of the fiscal year ended Dec. 31, 2021, which were disclosed after listing. These false statements and disclosures were deemed to be in violation of the Securities Listing Regulations and the written oath the Company submitted at the time of the initial listing.

As a background to these violations, the following internal management system deficiencies were identified in addition to the "invalidation of the internal control system by the Director & CFO", "inadequate systems that overlooked the invalidation", "dysfunction of the auditors' audit and internal audit", and "weak employee compliance awareness" which were identified in the Previous Investigation.

- The Company's internal management system for early detection and correction of fraud was not functioning, as several officers and employees, including auditors, failed to take necessary corrective actions despite the fact that they were aware of suspicions of fictitious sales led by the Director & CFO, which were not identified in the Previous Investigation, before and after the conclusion of the Previous Investigation, and left the matter until another third-party committee was established based on suggestions from an external organization.
- The Company failed to take proactive measures to investigate the facts in order to properly disclose company information after the fraud was discovered, including the deletion by several officers and employees, including the then representative director & president, before and after the Previous Investigation of several electronic data that could have been used as evidence.

This case involved inaccurate and inadequate corrections to financial results in the phase following the discovery of the fraud, when sincere efforts were essential to restoring the confidence of investors. It was revealed that the Company had continuously failed to disclose proper financial results since before its initial listing, and considering the background and circumstances, TSE deems that improvement to the Company's internal management system, etc. are highly necessary. As such, TSE designates the Company's stock as a Security on Alert.

At the time of the Previous Corrections, TSE requested the Company to submit a report stating the background of the case and improvement measures (hereinafter "Improvement Report") on Aug. 19, 2021, and the Company submitted this on Sep. 2, 2021, later also submitting a report on the status of implementation and operation of the improvement measures contained in the Improvement Report ("Improvement Status Report") on Mar. 16, 2022, when six (6) months had elapsed since the submission of the Improvement Report. However, the improvement measures described in these reports are deemed insufficient as corrective measures for the newly uncovered deficiencies in this case, and TSE has decided to request additional improvements.

The Company also disclosed inaccurate corrections to its financial results without proper clarification of the facts at the time of the Previous Corrections, and provided false financial statements in its initial listing application documents in violation of the written oath. As such, TSE deems that this case has undermined the confidence of shareholders and investors in the TSE market and, therefore, shall impose a listing agreement violation penalty on the Company.

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